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Fuyao Glass

3Q26 a miss; cut estimates by 6-7%

Asia Autos & EV Battery

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Fuyao-A/H shares fell 7.2%/6.5% on 21 October (vs. SSE -0.6%, HSI -0.9%) following the company's 3Q26 results. Earnings significantly missed expectations due mainly to lower ASP growth, higher selling expenses and a higher effective tax rate. On the earnings and J.P. Morgan NDR calls, management highlighted normalized overseas aftermarket purchasing, continued product upgrades and improving capacity utilization as key supports for 2027 growth. Management expects global auto production to remain broadly flat or grow slightly in 2027, with Fuyao benefiting from further overseas market share gains. We maintain our Neutral rating on Fuyao Glass-A/H, as we see the valuation as fair and see limited catalysts ahead.

- **3Q26 results highlights:** Revenue rose 2.5% y/y and 5.1% q/q, to Rmb12.2bn. Auto glass ASP increased approximately 6.5% y/y excluding FX, with Rmb appreciation reducing reported growth by approximately 2.5ppts. GPM reached 38.0%, broadly flat y/y, but down 2.2ppts q/q, reflecting higher freight costs and the high 2Q base, given the one-off benefit from the OEM tariff refund. OPM declined 2.7ppts q/q, to 20.7%, partly affected by the Rmb78mn customer settlement. PBT excluding FX declined 5.3% y/y, to Rmb2.8bn. Net profit fell 9.9% y/y and q/q, to Rmb2.0bn, with the effective tax rate rising to 18.1% from 13.4% in 2Q26.
- **Freight costs pressured GPM; near-term cost relief remains limited:** Management indicated that higher ocean freight costs dragged on GPM by approximately 0.8ppt in 3Q26. Management noted that freight costs could increase further in 4Q26, albeit at a slower sequential pace than in 2Q-3Q. Looking into 2027, management expects broadly stable natural gas prices and sees limited upside risk to soda ash costs from current low levels. Product upgrades and efficiency gains should remain the main margin supports, while the higher effective tax rate compounded the 3Q earnings shortfall.
- **Customer settlement and US fire charges weighed on 3Q earnings; insurance recoveries to follow:** Higher selling expenses were due to a Rmb78mn customer settlement that management characterized as an isolated disagreement over delivery and acceptance standards. Related insurance proceeds are expected in 4Q26 and 1Q27. Separately, 3Q26 included US $14.34mn of fire-related one-off expenses. Management estimated a combined net profit impact of approximately Rmb150mn from these two items, with most fire-related insurance compensation expected in 4Q26.
- **Overseas ARG destocking has ended, improving the growth outlook:** Management indicated that overseas aftermarket revenue returned to positive

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target Prev End Date
Fuyao Glass - A	600660 CH	20,045	CNY	51.28	N	n/c	50.00	Jun-27	60.00	n/c
Fuyao Glass - H	3606 HK	4,001	HKD	51.75	N	n/c	50.00	Jun-27	60.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change.All prices as of 21 Oct 26.

See page 18 for analyst certification and important disclosures, including non-US analyst disclosures.

growth in 3Q26 as customers resumed normal purchasing following 1H destocking. This marks an improvement from the uncertainty highlighted at the 2Q results. Overseas auto glass revenue increased only 2.0% y/y in 9M26, also held back by adverse FX translation. Looking into 2027, normalized aftermarket demand should allow continued OEM growth to translate more clearly into overseas revenue growth. Management also sees further share gains as Fuyao increasingly moves from a secondary to a primary supplier for US and European OEMs.

- **Product upgrades and higher utilization to support 2027 earnings:** 9M26 auto glass revenue rose 3.8% y/y, as 6.4% ASP growth offset a 2.4% volume decline. ASP grew approximately 6.5% y/y excluding FX in 3Q26, with Rmb appreciation reducing reported growth by approximately 2.5ppts. High-value-added products reached 59.95% of 9M26 auto glass revenue, up 7ppts y/y, supporting management's long-term ASP CAGR target of 6-7%. Domestic new capacity utilization has reached 50-60%, with full utilization targeted for 3Q-4Q27. Further ramp-up and US operational normalization should support earnings.
- **Management expects stable to modest industry growth in 2027:** Management expects global auto production to remain broadly flat or grow slightly, with a modest recovery in China and broadly stable overseas production. Management is more constructive on Fuyao's overseas growth, supported by normalized aftermarket purchasing and continued OEM market share gains.
- **Earnings estimate and PT revisions:** We trim our 2026E/27E net profit by a slight 7%/6%. We remain Neutral on Fuyao-A/H. We cut our Jun-27 A/H PT to Rmb50/HK$50 to reflect lower target multiples, given uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts.

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Key takeaways from result briefing and J.P. Morgan NDR call

Q: How did overseas revenue perform, and has aftermarket destocking ended?

9M26 overseas auto glass revenue increased 2.0% y/y, or approximately 3.6% excluding the Rmb234mn tariff-related revenue deduction in 2Q26. Growth was affected by aftermarket (AM) customer destocking in 1H26 and adverse FX translation. Management indicated that overseas AM revenue returned to positive growth in 3Q26 as customers resumed normalized purchasing. The normalization of AM demand should allow continued OEM growth to translate more clearly into overall overseas revenue growth in 2027.

Domestic auto glass revenue grew 5.45% y/y in 9M26, supported by double-digit ASP growth despite weaker shipment volumes. Domestic/overseas businesses accounted for approximately 53.8%/46.2% of auto glass revenue. Management remains constructive on overseas share gains as competitors reduce capacity and Fuyao increasingly moves from a secondary to a primary supplier for US and European OEMs.

Q: What is driving ASP growth, and why did reported growth moderate?

9M26 auto glass ASP increased 6.39% y/y, or about 8.1% excluding tariff-related and FX effects. High-value-added products accounted for 59.95% of auto glass revenue, up approximately 7ppts y/y, driven mainly by dimmable, acoustic and HUD glass.

Management indicated that 3Q26 ASP increased approximately 6.5% excluding FX, with Rmb appreciation reducing growth by approximately 2.5ppts. A higher comparison base following the introduction of dimmable products from 3Q25 also contributed to the moderation. Management maintains a long-term ASP CAGR target of 6-7%.

Overseas adoption of functional glass remains behind China. European OEMs have started introducing these applications, but the pace of penetration depends on new vehicle programs and model replacement cycles.

Q: How does FX affect revenue and earnings, and how is Fuyao managing the exposure?

Revenue and ASP comparisons use average exchange rates during the reporting period versus the prior year. Financial FX gains and losses reflect exchange rate movements on foreign-currency cash, receivables and payables. The two effects therefore use different measurement bases.

Rmb appreciation reduced 9M26 revenue/ASP growth by approximately 1.0ppt, with the impact widening to approximately 2.5ppts in 3Q26. Separately, Fuyao recorded approximately Rmb1.07bn of FX losses in 9M26 vs. FX gains a year earlier.

Fuyao maintains a neutral FX strategy through regular conversion of collections and partial derivative hedging. The board approved an additional US$500mn hedging quota, bringing the total to US$1bn. Management is also discussing Rmb settlement for some European export orders. Excluding deposits, operating settlements are about 70% in US dollars and 30% in euros, while deposits are predominantly held in US dollars.

Q: What pressured GPM, and how should we assess underlying profitability?

9M26 GPM increased 1.20ppts y/y, to 38.56%, including an approximately 0.43ppt contribution from the 2Q26 tariff-related cost reversal. Product upgrades and operating efficiency continued to support profitability despite weaker volumes.

For 3Q26, management identified higher ocean freight costs as the main GPM headwind, with an approximately 0.8ppt impact. Separately, selling expenses included a Rmb78mn customer settlement, which management characterized as an isolated disagreement over delivery and acceptance standards. Related insurance recoveries are expected in 4Q26 and 1Q27.

3Q26 also included approximately Rmb100mn of US fire-related non-operating expenses. Management estimated a combined net profit impact of approximately Rmb150mn from the fire-related expenses and customer settlement, with most fire-related insurance compensation expected in 4Q26.

Q: What is the outlook for freight, energy and raw material costs?

Management indicated that freight costs could increase further in 4Q26, although the sequential increase should be smaller than in 2Q-3Q.

Management expects broadly stable natural gas prices in 2027, absent exceptional events, and sees limited upside risk to soda ash prices from current low levels. Northern plants could face seasonal gas price increases of approximately 3-5%, but management expects a limited overall impact, given their relatively low starting prices and efficiency improvements. Management emphasized that sustained margin improvement should primarily come from product upgrades, higher utilization and operating efficiency.

Q: What is management's outlook for 2027 growth and profitability?

Management expects global auto production to remain broadly stable or grow modestly in 2027, with China potentially recovering slightly and overseas production remaining relatively stable. It is more constructive on overseas growth, supported by normalized AM purchasing, continued OEM growth and further market share gains. Domestic demand remains dependent on policy support and consumer confidence.

Capacity utilization should provide additional earnings support. Domestic new capacity is currently operating at approximately 50-60% utilization vs. an expected FY26 average of approximately 40%, with full utilization targeted for 3Q-4Q27.

In the US, repairs to the remaining fire-affected lines are expected to be completed by end-October, followed by commissioning and ramp-up. Commissioning will remain a 4Q26 headwind. Excluding commissioning effects, management expects FY26 US OPM to improve by over 1ppt from 13.27% in 2025, followed by approximately another 1ppt improvement in 2027.

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Table 1: Fuyao Glass – Estimate revisions

	2026E			2027E		
RMB mn	Revised	Previous	% change	Revised	Previous	% change
Net Sales	47,074	47,426	-1%	51,163	52,658	-3%
Sales growth (yoy)	3%	4%		9%	11%	
COGS	29,006	29,066	0%	31,566	32,303	-2%
Gross profit	18,068	18,360	-2%	19,596	20,355	-4%
Gross margin	38.4%	38.7%		38.3%	38.7%	
Operating profit	9,978	10,688	-7%	12,034	12,750	-6%
Operating margin	21%	23%		24%	24%	
Pre-tax profit	9,954	10,664	-7%	12,034	12,750	-6%
Tax rate	16%	16%		16%	16%	
Net profit	8,387	8,999	-7%	10,139	10,760	-6%
Net margin	17.8%	19.0%		19.8%	20.4%	
Net profit growth	-10%	-3%		21%	20%	
EPS (basic)	3.21	3.45	-7%	3.89	4.12	-6%

Source: J.P. Morgan estimates.

Table 2: Fuyao Glass – Quarterly results

RMB mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	YoY	QoQ
Net Sales	9,910	11,537	11,855	12,486	10,413	11,558	12,152	3%	5%
Sales growth (y/y)	12.2%	21.4%	18.9%	14.1%	5.1%	0.2%	2.5%		
Gross profit	3,508	4,440	4,493	4,623	3,892	4,642	4,623	3%	0%
Gross profit margin	35.4%	38.5%	37.9%	37.0%	37.4%	40.2%	38.0%	0%	0%
Operating profit	2,484	3,300	2,788	2,613	2,018	2,705	2,520	-10%	-7%
Operating margin	25.1%	28.6%	23.5%	20.9%	19.4%	23.4%	20.7%		
Pre-tax profit	2,486	3,308	2,783	2,585	2,028	2,610	2,487	-11%	-5%
Tax rate	18.3%	16.1%	18.8%	13.0%	15.6%	13.4%	18.1%		
Net profit	2,030	2,775	2,259	2,248	1,712	2,259	2,036	-10%	-10%
Net margin	20.5%	24.1%	19.1%	18.0%	16.4%	19.5%	16.8%		
Net profit growth	46.3%	31.5%	14.1%	11.4%	-15.7%	-18.6%	-9.9%		
Net profit excl non-recurring item	1,987	2,720	2,215	2,243	1,643	2,236	2,000	-10%	-11%
PBT excluding FX gain/loss	2,250	2,942	2,905	2,767	2,467	2,974	2,751	-5%	-7%
Margin %	22.7%	25.5%	24.5%	22.2%	23.7%	25.7%	22.6%		

Source: Company data. Note: Accounting changes for GPM in FY24 results.

Table 3: Fuyao Glass – Auto glass revenue/ASP and volume growth

	FY23	FY24	FY25	1Q25	1H25	9M25	FY25	1Q26	1H26	9M26
ASP y/y growth	5.9%	7.4%	8.1%	3.5%	6.2%	6.9%	8.1%	11.0%	7.4%	6.4%
Volume y/y growth	10.2%	11.2%	8.5%	7.8%	9.3%	10.6%	8.5%	-3.7%	-3.4%	-2.4%
Auto glass revenue growth (y/y)	17%	19%	17%	11%	16%	18%	17%	7%	3.8%	3.8%
- domestic auto glass rev growth	n/a	19%	15%	12%	14%	15%	15%	3%	4.8%	5.5%
- overseas auto glass rev growth	n/a	20%	21%	11%	19%	22%	21%	11%	2.6%	2.0%
sales rebate as % of revenue	0.78%	0.97%	1.61%	1.25%	1.35%	1.57%	1.61%	1.17%	1.16%	1.22%

Source: Company data.

Table 4: Fuyao's US operations

Rmb mn	2022	2023	2024	2025	YoY	1H23	2H23	1H24	2H24	1H25	2H25	1H26	YoY	HoH
Revenue	4,572	5,570	6,318	7,917	25%	2,544	3,026	3,359	2,959	3,852	4,065	3,975	3%	-2%
y/y	17%	22%	13%	25%		14%	29%	32%	-2%	15%	37%	3%		
Operating profit	454	633	827	1,051	27%	257	375	504	323	591	459	734	24%	60%
OPM	9.9%	11.4%	13.1%	13.3%	0.2%	10.1%	12.4%	15.0%	10.9%	15.3%	11.3%	18.5%	3.1%	7.2%
Net profit	345	494	627	884	41%	190	304	387	240	433	450	467	8%	4%
NPM	7.6%	8.9%	9.9%	11.2%	1.2%	7.5%	10.0%	11.5%	8.1%	11.2%	11.1%	11.8%	0.5%	0.7%

Source: Company data, J.P. Morgan calculations. Note: 2Q26 US OPM reached 23.9%, including a 6.47ppt benefit from the tariff refund; excluding this one-off benefit, OPM was 17.5%, broadly flat vs. 17.6% in 2Q25.

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Table 5: Key drivers of FYG margin

	FY21	FY22	FY23	FY24	FY25	1Q25	1H25	9M25	1Q26	1H26	9M26
Impact on margin	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**	**YoY (bps)**
Soda ash cost	-45	-65		30	43			34	30	39	
Energy cost		-148				60	38				
Sea freight cost	-98		75	-75	51	-20		37	70	-33	
Efficiency improvement					45	96	74	52	96		
Operating leverage			**61**		10	**-40**	**35**	**39**	-30		
capacity utilization			61							-70	
Labor cost						-40				-70	
One-off tarriff rebate										128	43
One-off compensation											-23
sales rebate as % of revenue	**0%**	**0%**	**0.78%**	**0.97%**	**1.61%**	**1.25%**	**1.35%**	**1.57%**	**1.17%**	**1.16%**	**1.22%**

Source: Company data, J.P. Morgan calculations. Note: FY21-23 impact on GPM; FY24, 1Q25 ,1H25/1H26 ,9M25/9M26 and FY25 impact on core NPM; core NPM = (revenue - COGS - sales & marketing exp - admin exp - R&D expense - FX - interest income)/revenue.

Fuyao Glass high-value-added products

Table 6: FYG's high-value-added products as a % of auto glass revenue

	FY24	FY25	FY25 y/y		1H25	1H26	1H26 y/y		9M25	9M26	9M26 y/y
Key high value-added products as % of revenue											
Panoramic (large sunroof) glass	11.6%	13.9%	2.3%		11.5%	14.3%	2.8%		12.3%	14.2%	1.9%
HUD (heads-up display) glass	10.6%	11.8%	1.2%		10.9%	12.6%	1.6%		11.2%	12.3%	1.2%
Coated and heat-protecting glass	3.8%	4.2%	0.4%		2.2%	1.7%	-0.5%				
Glass with ADAS camera	9.7%	9.8%	0.1%		10.5%	10.2%	-0.3%				
Soundproof glass	5.9%	6.6%	0.7%		5.8%	8.0%	2.2%		6.0%	7.9%	1.9%
Dimming glass		0.8%	0.6%		0.4%	2.1%	1.6%		2.5%	6.2%	3.7%
Total high value-added products as % of rev	**48.8%**	**54.2%**	**5.4%**		**51.7%**	**59.7%**	**8.0%**		**53.0%**	**60.0%**	**7.0%**

Source: Company data.

Capacity

The 1.5mn-set US Phase II capacity was put into production at the beginning of 2025, and ramp-up is under way. Management guided to ~30% UTR for US Phase II in 2025, ~65% UTR in 2026 and >80% UTR in 2027.

The production capacity of 1mn sets each in Fuqing and Anhui bases completed construction by Sep-25 and another 2mn sets each in Fuqing and Anhui base completed construction by Nov-25. The 6mn-set capacity was put into production by end-2025. Management expects 40% UTR for the 6mn-set new capacity in 2026 and 75% UTR in 2027. The company expects the remaining 5mn-set capacity expansion to be put into production in 2027.

Table 7: Fuyao auto glass capacity

Units (mn sets)	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Domestic																		
Fuqing	4	4	4	4	4	4	4	4	4	4	4	4	4	4	5	7	9	9
Changchun	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3
Chongqing	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5	3.5
Shanghai	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3
Guangzhou	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5
Hubei	6	6	6	6	6	6	6	6	6	6	6	6	6	6	6	6	6	6
Zhengzhou			3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3
Shenyang					1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5	1.5
Tianjing							4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5	4.5
Suzhou							2	2	2	2	2	2	4	4	4	4	4	4
Hefei															1	3	6	6
Overseas																		
Russia				1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3
Ohio					5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	5.5	7	7	7	7
Total capacity (mn sets)	24.0	24.0	27.0	28.3	35.3	35.3	41.8	41.8	41.8	41.8	41.8	41.8	43.8	43.8	47.3	51.3	56.3	56.3
Total capacity (mn sqm)	81	84	100	105	130	130	154	156	158	161	164	167	179	182	201	231	231	231
Total capacity include production line upgrade (mn sets)															51.0	55.0	60.0	60.0
Total capacity include production line upgrade (mn sqm)															216	248	247	247

Source: Company data.

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Table 8: Fuyao float glass capacity

Units (No. of production lines)	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Domestic																		
Fuqing, Fujian	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3	3
Wansheng, Chongqing		2	2	2	2	2	2	2	2	2	2	2	2	2	2	2	2	2
Tongliao, Inner Mongolia				2	2	2	2	2	2	2	2	2	2	2	2	2	2	2
Benxi, Fujian								2	2	2	2	2	2	2	2	3	3	3
Hefei, Anhui																1	2	2
Overseas																		
Illinois, US					2	2	2	2	2	2	2	2	2	2	2	2	4	4
Total capacity (No. of production lines)	3	5	5	7	9	9	9	11	11	11	11	11	11	11	11	13	16	16
Equivalent to auto glass (mn sets)	7.5	12.5	12.5	17.5	24.8	24.8	24.8	30.3	30.3	30.3	30.8	30.8	33.0	33.0	33.0	39.0	48.0	48.0
Float glass self-sefficiency ratio	37%	61%	54%	73%	82%	82%	70%	85%	85%	85%	87%	87%	89%	89%	82%	89%	100%	100%

Source: Company data. Note: Two float glass lines in the US can be used for solar back panel glass sales, depending on need.

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Appendix 1: Global auto production

Table 9: IHS Oct-26 update: Global production volume

000s

	FY 20	FY 21	FY 22	FY 23	FY 24	1Q 25	2Q 25	3Q 25	4Q 25	FY 25	1Q 26	2Q 26e	3Q 26e	4Q 26e	FY 26e	FY 27e
Europe ex. Russia	15,228	14,431	15,303	17,341	16,319	4,190	4,287	3,689	4,133	16,299	4,232	4,302	3,696	4,028	16,257	15,918
Greater China	23,588	24,843	26,403	29,043	30,087	7,183	7,755	8,366	9,791	33,095	6,635	7,511	7,875	8,985	31,006	31,522
Japan/Korea	11,198	10,875	11,138	12,803	11,980	3,041	3,029	2,923	3,105	12,098	3,109	3,073	2,893	3,181	12,255	11,875
Middle East/Africa	1,780	2,053	2,242	2,301	2,350	667	536	596	630	2,429	518	487	477	497	1,979	2,172
North America	13,024	13,047	14,296	15,683	15,450	3,768	3,957	3,970	3,578	15,274	3,728	3,972	3,785	3,503	14,987	15,104
South America	2,246	2,606	2,823	2,912	2,962	687	773	841	756	3,057	715	836	889	755	3,194	3,425
South Asia	6,190	7,880	9,614	9,777	9,590	2,547	2,402	2,530	2,622	10,100	2,788	2,707	2,909	2,573	10,976	11,344
Global	**74,596**	**77,195**	**82,343**	**90,485**	**89,594**	**22,259**	**22,923**	**23,099**	**24,820**	**93,101**	**21,920**	**23,131**	**22,732**	**23,776**	**91,559**	**92,338**

Source: IHS Automotive.

Table 10: IHS Oct-26 update: Global production volume y/y %

	FY 20	FY 21	FY 22	FY 23	FY 24	1Q 25	2Q 25	3Q 25	4Q 25	FY 25	1Q 26	2Q 26e	3Q 26e	4Q 26e	FY 26e	FY 27e
Europe ex. Russia	-22.1%	-5.2%	6.0%	13.3%	-5.9%	**-5.3%**	**0.3%**	**4.4%**	**1.1%**	**-0.1%**	**1.0%**	**0.3%**	**0.2%**	**-2.5%**	**-0.3%**	**-2.1%**
Greater China	-4.4%	5.3%	6.3%	10.0%	3.6%	**14.5%**	**10.9%**	**14.6%**	**2.8%**	**10.0%**	**-7.6%**	**-3.1%**	**-5.9%**	**-8.2%**	**-6.3%**	**1.7%**
Japan/Korea	-14.6%	-2.9%	2.4%	14.9%	-6.4%	7.0%	0.3%	0.7%	-3.5%	1.0%	2.2%	1.5%	-1.1%	2.5%	1.3%	-3.1%
Middle East/Africa	-11.5%	15.3%	9.2%	2.7%	2.1%	17.2%	-3.2%	-3.0%	2.8%	3.4%	-22.4%	-9.1%	-19.9%	-21.2%	-18.5%	9.7%
North America	-20.2%	0.2%	9.6%	9.7%	-1.5%	**-5.0%**	**-3.5%**	**5.3%**	**-1.0%**	**-1.1%**	**-1.1%**	**0.4%**	**-4.7%**	**-2.1%**	**-1.9%**	**0.8%**
South America	-31.4%	16.1%	8.3%	3.2%	1.7%	10.1%	11.9%	-1.9%	-4.3%	3.2%	4.0%	8.2%	5.7%	-0.2%	4.5%	7.2%
South Asia	-26.5%	27.3%	22.0%	1.7%	-1.9%	0.1%	5.8%	3.6%	12.4%	5.3%	9.5%	12.7%	15.0%	-1.9%	8.7%	3.4%
Global	**-16.1%**	**3.5%**	**6.7%**	**9.9%**	**-1.0%**	**3.9%**	**3.7%**	**6.9%**	**1.6%**	**3.9%**	**-1.5%**	**0.9%**	**-1.6%**	**-4.2%**	**-1.7%**	**0.9%**

Source: IHS Automotive.

Appendix 2: Cost trends: Commodities, natural gas and shipping

- **Soda ash prices** remained under pressure, with sequential declines resuming in 3Q26. Prices fell 14%/7%/7% y/y in 1Q26/2Q26/3Q26 and have declined 9% y/y in 4Q26 to date. Following modest sequential gains in 1H26, prices fell 10% q/q in 3Q26 and a further 1% in 4Q26 to date. YTD26 prices are down 10% y/y.
- **US natural gas prices** rebounded in 1Q26 (+14% y/y, +27% q/q), but corrected sharply in 2Q26 (-9% y/y, -37% q/q) and remained soft in 3Q26 (-4% y/y, -3% q/q). Prices have recovered 7% sequentially in 4Q26 to date, although they remain 17% below year-ago levels. YTD26 prices are down 4% y/y.
- **Sea freight rates** continued to rise in 3Q26 and 4Q26 to date. CCFI increased 16%/55%/78% y/y in 2Q26/3Q26/4Q26 to date, while SCFI rose 42%/115%/155%. Following strong sequential gains in 2Q26, CCFI/SCFI increased a further 38%/36% q/q in 3Q26 and 3%/15% in 4Q26 to date. YTD26 freight rates are up 31% (CCFI) and 69% (SCFI) y/y.
- **Aluminium prices** remained elevated, although sequential momentum softened in 2H26. Prices rose 18%/20%/14% y/y in 1Q26/2Q26/3Q26 and have remained 10% above year-ago levels in 4Q26 to date. After increasing 12%/1% q/q in 1Q26/2Q26, prices declined 2% q/q in 3Q26 and were broadly flat sequentially in 4Q26 to date. YTD26 prices are up 15% y/y.

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Table 11: Cost trends in 1Q25-YTD26 (average spot prices)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26 so far	FY24	FY25	YTD26
Soda ash price	180	169	152	152	154	157	141	139	239	163	148
CCFI - China Container Freight Shipping Index	1,350	1,162	1,205	1,075	1,129	1,350	1,865	1,918	1,543	1,198	1,566
SCFI - Shanghai Container Freight Shipping Index	1,762	1,645	1,481	1,440	1,507	2,337	3,190	3,672	2,494	1,582	2,676
SCFI US-West Coast Container Freight Shipping Index	3,266	3,076	1,947	1,919	2,037	3,652	6,067	7,555	4,960	2,552	4,828
SCFI US-East Coast Container Freight Shipping Index	4,544	4,462	3,133	2,740	2,868	4,740	8,339	10,465	6,421	3,720	6,603
SCFI Shanghai- Europe Container Freight Shipping Index	1,829	1,466	1,680	1,373	1,546	2,129	3,232	2,305	3,111	1,587	2,303
Steel price - China domestic HRC	3,419	3,271	3,434	3,307	3,273	3,380	3,302	3,283	3,675	3,358	3,309
Steel price - China domestic CRC	4,151	3,821	3,925	3,866	3,767	3,820	3,776	3,763	4,252	3,941	3,782
China Shanghai Changjiang Aluminium Spot Price	20,449	20,202	20,736	21,539	24,030	24,244	23,722	23,604	19,920	20,731	23,900
Natural gas US	4.16	3.26	2.98	3.72	4.69	2.95	2.87	3.08	2.15	3.53	3.40
Natural gas China - China LNG Import price index	138	131	132	123	118	157	183	184	143	131	160
China rubber price index	14,482	11,958	11,742	10,884	13,498	15,332	14,229	na	14,170	12,267	14,353
Copper price - LME Copper Spot	9,347	9,519	9,815	11,105	12,824	13,352	14,099	14,518	9,150	9,947	13,698
Copper price - SHJC Copper Spot	9,391	9,569	9,865	11,031	12,865	13,432	14,144	14,723	9,221	9,964	13,791

Source: J.P. Morgan, Bloomberg Finance L.P., SHPGX, Shanghai Shipping Exchange. 4Q26 so far refers to 1-18 October.

Table 12: Cost trends in 1Q25-YTD26 (q/q and y/y)

	1Q25 y/y	2Q25 y/y	3Q25 y/y	4Q25 y/y	1Q26 y/y	2Q26 y/y	3Q26 y/y	4Q26 so far y/y	1Q26 q/q	2Q26 q/q	3Q26 q/q	Changes in 4Q26 so far	FY24 y/y	FY25 y/y	YTD y/y
Soda ash price	-37%	-33%	-33%	-22%	-14%	-7%	-7%	-9%	2%	1%	-10%	-1%	-24%	-32%	-10%
CCFI - China Container Freight Shipping Index	5%	-19%	-40%	-26%	-16%	16%	55%	78%	5%	20%	38%	3%	64%	-22%	31%
SCFI - Shanghai Container Freight Shipping Index	-12%	-37%	-52%	-36%	-14%	42%	115%	155%	5%	55%	36%	15%	148%	-37%	69%
SCFI US-West Coast Container Freight Shipping Index	-20%	-41%	-69%	-55%	-38%	19%	212%	294%	6%	79%	66%	25%	209%	-49%	89%
SCFI US-East Coast Container Freight Shipping Index	-19%	-29%	-63%	-48%	-37%	6%	166%	282%	5%	65%	76%	25%	154%	-42%	78%
SCFI Shanghai- Europe Container Freight Shipping Index	-27%	-54%	-59%	-47%	-16%	45%	92%	68%	13%	38%	52%	-29%	252%	-49%	45%
Steel price - China domestic HRC	-14%	-2%	1%	-7%	-4%	3%	-4%	-1%	-1%	3%	-2%	-1%	-9%	-9%	-1%
Steel price - China domestic CRC	-11%	55%	5%	-7%	-9%	-	-	-3%	-3%	1%	-1%	0%	-8%	-7%	-4%
China Shanghai Changjiang Aluminium Spot Price	7%	-4%	6%	5%	18%	20%	14%	10%	12%	1%	-2%	0%	7%	4%	15%
Natural gas US	114%	-33%	43%	50%	14%	-9%	-4%	-17%	27%	-37%	-3%	7%	-15%	64%	-4%
Natural gas China - China LNG Import price index	-4%	-25%	-8%	-16%	-14%	19%	39%	49%	-4%	32%	17%	1%	-6%	-8%	22%
China rubber price index	12%	-19%	-22%	-25%	-7%	28%	21%	na	24%	14%	-7%	na	22%	-13%	17%
Copper price - LME Copper Spot	11%	-2%	7%	21%	37%	40%	44%	31%	15%	4%	6%	3%	8%	9%	38%
Copper price - SHJC Copper Spot	10%	-2%	6%	18%	37%	40%	43%	33%	17%	4%	5%	4%	8%	8%	38%

Source: J.P. Morgan, Bloomberg Finance L.P., SHPGX, Shanghai Shipping Exchange. 4Q26 so far refers to 1-18 October.

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Neutral

600660.SS, 600660 CH
Price (21 Oct 26):Rmb51.28

▼**Price Target (Jun-27):Rmb50.00**
Prior (Jun-27):Rmb60.00

Fuyao Glass - A

Maintain Neutral

We update our earnings estimates for Fuyao Glass following the 3Q result (-7%/-5% for 2026E/27E) and cut our Jun-27 PT to Rmb50.

Asia Autos & EV Battery

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	3.45	3.21	-6.8%
Adj. EPS - 27E (Rmb)	4.12	3.89	-5.8%

Style Exposure

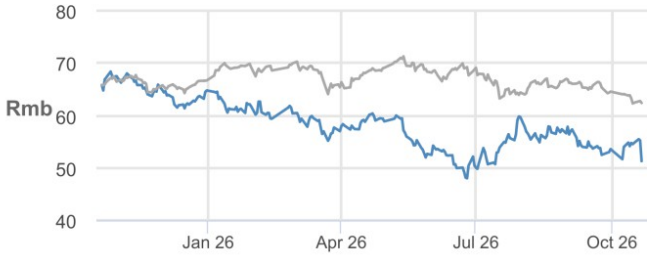
Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	59	57	58	61	64
Growth	40	39	33	54	53
Momentum	54	74	33	10	30
Quality	13	17	24	32	36
Low Vol	21	13	16	11	57

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance



— 600660.SS Price (Rmb) — SHCOMP (rebased)

	YTD	1m	3m	12m
Abs	-20.8%	-5.3%	-6.4%	-22.1%
Rel	-14.4%	0.7%	-2.5%	-16.9%

Company Data

Shares O/S (mn)	2,610
52-week range (Rmb)	69.06-47.53
Market cap ($ mn)	20,045
Exchange rate	6.68
Free float (%)	65.2%
3M ADV (mn)	11.03
3M ADV ($ mn)	92.2
Volatility (90 Day)	33
Index	SSE
BBG ANR (Buy | Hold | Sell)	26|3|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	45,787	47,074	51,163	55,841
Adj. EBITDA	13,720	10,093	12,159	13,055
Adj. EBIT	11,185	9,978	12,034	12,918
Adj. net income	9,312	8,387	10,139	10,885
Net margin	20.3%	17.8%	19.8%	19.5%
Adj. EPS	3.57	3.21	3.89	4.17
BBG EPS	3.69	3.75	4.45	5.09
Cashflow from operations	12,055	9,940	11,442	13,423
FCFF	5,891	4,638	7,140	9,121
Margins and Growth				
Revenue Growth Y/Y (%)	16.7%	2.8%	8.7%	9.1%
EBITDA margin	30.0%	21.4%	23.8%	23.4%
EBITDA Growth Y/Y (%)	21.4%	(26.4%)	20.5%	7.4%
EBIT margin	24.4%	21.2%	23.5%	23.1%
Adj. EPS growth	24.4%	(10.0%)	20.9%	7.4%
Ratios				
Adj. tax rate	16.5%	15.7%	15.7%	15.7%
Interest cover	-	-	-	-
Net debt/Equity	0.0	0.0	NM	NM
Net debt/EBITDA	0.1	0.1	NM	NM
ROCE	16.7%	14.0%	15.5%	15.2%
ROE	25.4%	21.5%	23.6%	22.7%
Valuation				
FCFF yield	4.4%	3.5%	5.3%	6.8%
Dividend yield	4.1%	3.8%	4.5%	4.9%
EV/EBITDA	9.5	12.9	10.5	9.5
EV/Revenue	2.8	2.8	2.5	2.2
Adj. P/E	14.4	16.0	13.2	12.3

Summary Investment Thesis and Valuation

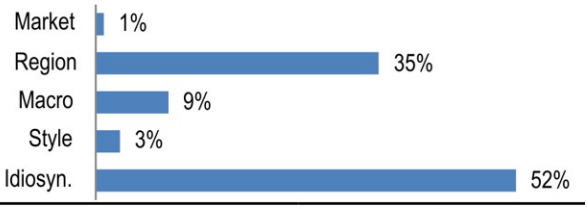
Investment Thesis

We like Fuyao Glass's leadership position in the global automotive glass market. Fuyao Glass benefits from the rising penetration of EV and ADAS in the auto industry, which brings higher value-add and higher unit value per vehicle. We expect Fuyao Glass to continue to gain share in overseas markets. However, we remain concerned about the uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts.

Valuation

We set our Jun-27 A-share PT at Rmb50, based on a 13x 2027E P/E (our previous Jun-27 PT of Rmb60 was based on a 15x 2027E P/E). We lower target multiple due to uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts. Our target multiple remains below the historical average to reflect weaker global auto production trends and a more challenging demand environment in the China market.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.03	0.12
Region: China	0.63	0.60
Macro:		
JPM Global Equity Sentiment	0.43	0.36
HSI Volatility Index	0.01	-0.22
JPM Forecast Revision EM	0.45	0.17
Quant Styles:		
Size	-0.71	-0.31
Quality	0.22	0.23
Momentum	-0.58	-0.21

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Fuyao Glass - A *(Neutral; Price Target: Rmb50.00)*

Investment Thesis
We like Fuyao Glass's leadership position in the global automotive glass market. Fuyao Glass benefits from the rising penetration of EV and ADAS in the auto industry, which brings higher value-add and higher unit value per vehicle. We expect Fuyao Glass to continue to gain share in overseas markets. However, we remain concerned about the uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts.

Valuation
We set our Jun-27 A-share PT at Rmb50, based on a 13x 2027E P/E. Our target multiple reflects uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts, and remains below the historical average to reflect weaker global auto production trends and a more challenging demand environment in the China market.

Risks to Rating and Price Target
Upside/downside risks include better-/worse-than-expected auto glass sales, better-/worse-than-expected pricing pressure, and better-/worse-than-expected operational performance at FYSAM.

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Fuyao Glass - A: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**39,252**	**45,787**	**47,074**	**51,163**	**55,841**
COGS	(25,031)	(28,722)	(29,006)	(31,566)	(34,422)
Gross profit	**14,221**	**17,065**	**18,068**	**19,596**	**21,419**
SG&A	(4,069)	(4,731)	(4,896)	(5,321)	(5,807)
Adj. EBITDA	**11,299**	**13,720**	**10,093**	**12,159**	**13,055**
D&A	(2,224)	(2,535)	(115)	(126)	(136)
Adj. EBIT	**9,075**	**11,185**	**9,978**	**12,034**	**12,918**
Net Interest	-	-	-	-	-
Adj. PBT	**8,991**	**11,162**	**9,954**	**12,034**	**12,918**
Tax	(1,487)	(1,845)	(1,563)	(1,889)	(2,028)
Minority Interest	(6)	(4)	(4)	(5)	(5)
Adj. Net Income	**7,498**	**9,312**	**8,387**	**10,139**	**10,885**
Reported EPS	2.87	3.57	3.21	3.89	4.17
Adj. EPS	**2.87**	**3.57**	**3.21**	**3.89**	**4.17**
DPS	**1.80**	**2.10**	**1.93**	**2.33**	**2.50**
Payout ratio	62.7%	58.8%	60.0%	60.0%	60.0%
Shares outstanding	2,613	2,608	2,610	2,610	2,610

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,785	19,274	20,434	24,542	29,579
Accounts receivable	10,891	11,834	12,059	13,162	14,365
Inventories	5,971	6,799	6,755	7,351	8,016
Other current assets	757	1,438	2,339	2,463	2,606
Current assets	**36,403**	**39,345**	**41,586**	**47,518**	**54,566**
PP&E	22,959	26,428	31,428	35,428	39,428
LT investments	441	413	408	403	398
Other non current assets	3,450	3,876	3,685	3,776	3,878
Total assets	**63,254**	**70,062**	**77,107**	**87,125**	**98,271**
Short term borrowings	10,446	17,042	18,021	19,091	21,294
Payables	2,796	3,059	6,237	9,697	13,469
Other short term liabilities	4,747	5,465	5,439	5,816	6,180
Current liabilities	**17,989**	**25,566**	**29,698**	**34,604**	**40,943**
Long-term debt	7,213	3,669	3,669	3,669	3,669
Other long term liabilities	2,367	3,275	3,275	3,275	3,275
Total liabilities	**27,569**	**32,510**	**36,642**	**41,548**	**47,887**
Shareholders' equity	35,694	37,556	40,466	45,573	50,374
Minority interests	(9)	(4)	(0)	5	10
Total liabilities & equity	**63,254**	**70,062**	**77,107**	**87,125**	**98,271**
BVPS	**13.66**	**14.40**	**15.51**	**17.46**	**19.30**
y/y Growth	*13.3%*	*5.4%*	*7.7%*	*12.6%*	*10.5%*
Net debt/(cash)	(1,126)	1,437	1,256	(1,782)	(4,616)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**8,562**	**12,055**	**9,940**	**11,442**	**13,423**
o/w Depreciation & amortization	2,224	2,535	115	126	136
o/w Changes in working capital	(2,049)	(1,170)	1,977	830	2,107
Cash flow from investing activities	**56**	**(6,099)**	**(5,302)**	**(4,302)**	**(4,302)**
o/w Capital expenditure	(5,481)	(6,164)	(5,302)	(4,302)	(4,302)
as % of sales	*14.0%*	*13.5%*	*11.3%*	*8.4%*	*7.7%*
Cash flow from financing activities	**(3,358)**	**(5,170)**	**(3,478)**	**(3,032)**	**(4,084)**
o/w Dividends paid	(3,714)	(7,315)	(5,478)	(5,032)	(6,084)
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	242	1,414	2,000	2,000	2,000
Net change in cash	**5,383**	**507**	**1,160**	**4,108**	**5,038**
Adj. Free cash flow to firm	**3,081**	**5,891**	**4,638**	**7,140**	**9,121**
y/y Growth	*(2.2%)*	*91.2%*	*(21.3%)*	*54.0%*	*27.7%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	36.2%	37.3%	38.4%	38.3%	38.4%
EBITDA margin	28.8%	30.0%	21.4%	23.8%	23.4%
EBIT margin	23.1%	24.4%	21.2%	23.5%	23.1%
Net profit margin	19.1%	20.3%	17.8%	19.8%	19.5%
ROE	22.3%	25.4%	21.5%	23.6%	22.7%
ROA	12.5%	14.0%	11.4%	12.3%	11.7%
ROCE	14.9%	16.7%	14.0%	15.5%	15.2%
SG&A/Sales	10.4%	10.3%	10.4%	10.4%	10.4%
Net debt/Equity	NM	0.0	0.0	NM	NM
Net debt/EBITDA	NM	0.1	0.1	NM	NM
Sales/Assets (x)	0.7	0.7	0.6	0.6	0.6
Assets/Equity (x)	1.79	1.82	1.89	1.91	1.93
Interest cover (x)	-	-	-	-	-
Operating leverage	183.1%	139.7%	(384.2%)	237.2%	80.4%
Tax rate	16.5%	16.5%	15.7%	15.7%	15.7%
Revenue y/y Growth	18.4%	16.7%	2.8%	8.7%	9.1%
EBITDA y/y Growth	27.3%	21.4%	(26.4%)	20.5%	7.4%
EPS y/y Growth	32.9%	24.4%	(10.0%)	20.9%	7.4%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	17.9	14.4	16.0	13.2	12.3
P/BV (x)	3.8	3.6	3.3	2.9	2.7
EV/EBITDA (x)	11.3	9.5	12.9	10.5	9.5
Dividend Yield	3.5%	4.1%	3.8%	4.5%	4.9%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Neutral

3606.HK, 3606 HK
Price (21 Oct 26):HK$51.75

▼**Price Target (Jun-27):HK$50.00**
Prior (Jun-27):HK$60.00

Fuyao Glass - H

Maintain Neutral

We update our earnings estimates for Fuyao Glass following the 3Q result (-7%/-5% for 2026E/27E) and cut our Jun-27 PT to HK$50.

Asia Autos & EV Battery

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	3.45	3.21	-6.8%
Adj. EPS - 27E (Rmb)	4.12	3.89	-5.8%

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	52	54	57	57	51
Growth	31	43	37	58	68
Momentum	60	72	24	9	49
Quality	9	17	25	34	59
Low Vol	32	35	42	30	78
ESGQ	89	89	20	8	2

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance



	YTD	1m	3m	12m
Abs	-23.0%	-7.1%	-6.2%	-25.3%
Rel	-12.1%	-2.3%	-1.2%	-10.7%

Company Data

Shares O/S (mn)	607
52-week range (HK$)	72.50-47.70
Market cap ($ mn)	4,001
Exchange rate	7.85
Free float (%)	100.0%
3M ADV (mn)	2.81
3M ADV ($ mn)	20.0
Volatility (90 Day)	33
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	18|4|0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	45,787	47,074	51,163	55,841
Adj. EBITDA	13,720	10,093	12,159	13,055
Adj. EBIT	11,185	9,978	12,034	12,918
Adj. net income	9,312	8,387	10,139	10,885
Net margin	20.3%	17.8%	19.8%	19.5%
Adj. EPS	3.57	3.21	3.89	4.17
BBG EPS	3.65	3.69	4.42	5.07
Cashflow from operations	12,055	9,940	11,442	13,423
FCFF	5,891	4,638	7,140	9,121
Margins and Growth				
Revenue Growth Y/Y (%)	16.7%	2.8%	8.7%	9.1%
EBITDA margin	30.0%	21.4%	23.8%	23.4%
EBITDA Growth Y/Y (%)	21.4%	(26.4%)	20.5%	7.4%
EBIT margin	24.4%	21.2%	23.5%	23.1%
Adj. EPS growth	24.4%	(10.0%)	20.9%	7.4%
Ratios				
Adj. tax rate	16.5%	15.7%	15.7%	15.7%
Interest cover	-	-	-	-
Net debt/Equity	0.0	0.0	NM	NM
Net debt/EBITDA	0.1	0.1	NM	NM
ROCE	16.7%	14.0%	15.5%	15.2%
ROE	25.4%	21.5%	23.6%	22.7%
Valuation				
FCFF yield	5.1%	4.0%	6.2%	7.9%
Dividend yield	4.8%	4.4%	5.3%	5.7%
EV/EBITDA	9.5	12.9	10.5	9.5
EV/Revenue	2.8	2.8	2.5	2.2
Adj. P/E	12.3	13.7	11.3	10.6

Summary Investment Thesis and Valuation

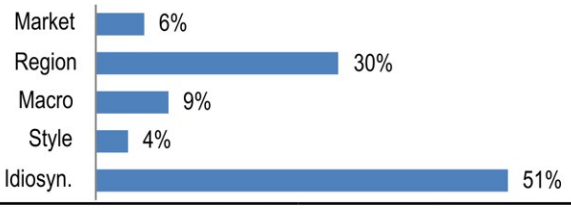
Investment Thesis

We like Fuyao Glass's leadership position in the global automotive glass market. Fuyao Glass benefits from the rising penetration of EV and ADAS in the auto industry, which brings higher value-add and higher unit value per vehicle. We expect Fuyao Glass to continue to gain share in overseas markets. However, we remain concerned about the uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts.

Valuation

We set our Jun-27 H-share PT at HK$50, based on an 11x 2027E P/E (our previous Jun-27 PT of HK$60 was based on a 13x 2027E P/E). We lower target multiple due to uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts. Our target multiple remains below the historical average to reflect weaker global auto production trends and a more challenging demand environment in the China market.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.30	0.25
Region: China	0.62	0.57
Macro:		
JPM Global Equity Sentiment	0.31	0.33
Markit EM Composite PMI SA	-0.47	-0.30
JPM EM Currency(EMCI) Fixing	0.30	0.20
Quant Styles:		
Size	-0.69	-0.39
Momentum	-0.64	-0.33
Quality	0.18	0.19

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

Fuyao Glass - H *(Neutral; Price Target: HK$50.00)*

Investment Thesis
We like Fuyao Glass's leadership position in the global automotive glass market. Fuyao Glass benefits from the rising penetration of EV and ADAS in the auto industry, which brings higher value-add and higher unit value per vehicle. We expect Fuyao Glass to continue to gain share in overseas markets. However, we remain concerned about the uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts.

Valuation
We set our Jun-27 H-share PT at HK$50, based on an 11x 2027E P/E. Our target multiple reflects uncertainty over China auto demand in 2027 and a lack of near-term positive catalysts, and remains below the historical average to reflect weaker global auto production trends and a more challenging demand environment in the China market.

Risks to Rating and Price Target
Upside/downside risks include better-/worse-than-expected auto glass sales, better-/worse-than-expected pricing pressure, and better-/worse-than-expected operational performance at FYSAM.

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Fuyao Glass - H: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**39,252**	**45,787**	**47,074**	**51,163**	**55,841**
COGS	(25,031)	(28,722)	(29,006)	(31,566)	(34,422)
Gross profit	**14,221**	**17,065**	**18,068**	**19,596**	**21,419**
SG&A	(4,069)	(4,731)	(4,896)	(5,321)	(5,807)
Adj. EBITDA	**11,299**	**13,720**	**10,093**	**12,159**	**13,055**
D&A	(2,224)	(2,535)	(115)	(126)	(136)
Adj. EBIT	**9,075**	**11,185**	**9,978**	**12,034**	**12,918**
Net Interest	-	-	-	-	-
Adj. PBT	**8,991**	**11,162**	**9,954**	**12,034**	**12,918**
Tax	(1,487)	(1,845)	(1,563)	(1,889)	(2,028)
Minority Interest	(6)	(4)	(4)	(5)	(5)
Adj. Net Income	**7,498**	**9,312**	**8,387**	**10,139**	**10,885**
Reported EPS	2.87	3.57	3.21	3.89	4.17
Adj. EPS	**2.87**	**3.57**	**3.21**	**3.89**	**4.17**
DPS	**1.80**	**2.10**	**1.93**	**2.33**	**2.50**
Payout ratio	62.7%	58.8%	60.0%	60.0%	60.0%
Shares outstanding	2,613	2,608	2,610	2,610	2,610

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,785	19,274	20,434	24,542	29,579
Accounts receivable	10,891	11,834	12,059	13,162	14,365
Inventories	5,971	6,799	6,755	7,351	8,016
Other current assets	757	1,438	2,339	2,463	2,606
Current assets	**36,403**	**39,345**	**41,586**	**47,518**	**54,566**
PP&E	22,959	26,428	31,428	35,428	39,428
LT investments	441	413	408	403	398
Other non current assets	3,450	3,876	3,685	3,776	3,878
Total assets	**63,254**	**70,062**	**77,107**	**87,125**	**98,271**
Short term borrowings	10,446	17,042	18,021	19,091	21,294
Payables	2,796	3,059	6,237	9,697	13,469
Other short term liabilities	4,747	5,465	5,439	5,816	6,180
Current liabilities	**17,989**	**25,566**	**29,698**	**34,604**	**40,943**
Long-term debt	7,213	3,669	3,669	3,669	3,669
Other long term liabilities	2,367	3,275	3,275	3,275	3,275
Total liabilities	**27,569**	**32,510**	**36,642**	**41,548**	**47,887**
Shareholders' equity	35,694	37,556	40,466	45,573	50,374
Minority interests	(9)	(4)	(0)	5	10
Total liabilities & equity	**63,254**	**70,062**	**77,107**	**87,125**	**98,271**
BVPS	**13.66**	**14.40**	**15.51**	**17.46**	**19.30**
y/y Growth	*13.3%*	*5.4%*	*7.7%*	*12.6%*	*10.5%*
Net debt/(cash)	(1,126)	1,437	1,256	(1,782)	(4,616)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**8,562**	**12,055**	**9,940**	**11,442**	**13,423**
o/w Depreciation & amortization	2,224	2,535	115	126	136
o/w Changes in working capital	(2,049)	(1,170)	1,977	830	2,107
Cash flow from investing activities	**56**	**(6,099)**	**(5,302)**	**(4,302)**	**(4,302)**
o/w Capital expenditure	(5,481)	(6,164)	(5,302)	(4,302)	(4,302)
as % of sales	*14.0%*	*13.5%*	*11.3%*	*8.4%*	*7.7%*
Cash flow from financing activities	**(3,358)**	**(5,170)**	**(3,478)**	**(3,032)**	**(4,084)**
o/w Dividends paid	(3,714)	(7,315)	(5,478)	(5,032)	(6,084)
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	242	1,414	2,000	2,000	2,000
Net change in cash	**5,383**	**507**	**1,160**	**4,108**	**5,038**
Adj. Free cash flow to firm	**3,081**	**5,891**	**4,638**	**7,140**	**9,121**
y/y Growth	*(2.2%)*	*91.2%*	*(21.3%)*	*54.0%*	*27.7%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	36.2%	37.3%	38.4%	38.3%	38.4%
EBITDA margin	28.8%	30.0%	21.4%	23.8%	23.4%
EBIT margin	23.1%	24.4%	21.2%	23.5%	23.1%
Net profit margin	19.1%	20.3%	17.8%	19.8%	19.5%
ROE	22.3%	25.4%	21.5%	23.6%	22.7%
ROA	12.5%	14.0%	11.4%	12.3%	11.7%
ROCE	14.9%	16.7%	14.0%	15.5%	15.2%
SG&A/Sales	10.4%	10.3%	10.4%	10.4%	10.4%
Net debt/Equity	NM	0.0	0.0	NM	NM
Net debt/EBITDA	NM	0.1	0.1	NM	NM
Sales/Assets (x)	0.7	0.7	0.6	0.6	0.6
Assets/Equity (x)	1.79	1.82	1.89	1.91	1.93
Interest cover (x)	-	-	-	-	-
Operating leverage	183.1%	139.7%	(384.2%)	237.2%	80.4%
Tax rate	16.5%	16.5%	15.7%	15.7%	15.7%
Revenue y/y Growth	18.4%	16.7%	2.8%	8.7%	9.1%
EBITDA y/y Growth	27.3%	21.4%	(26.4%)	20.5%	7.4%
EPS y/y Growth	32.9%	24.4%	(10.0%)	20.9%	7.4%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	15.3	12.3	13.7	11.3	10.6
P/BV (x)	3.2	3.1	2.8	2.5	2.3
EV/EBITDA (x)	11.3	9.5	12.9	10.5	9.5
Dividend Yield	4.1%	4.8%	4.4%	5.3%	5.7%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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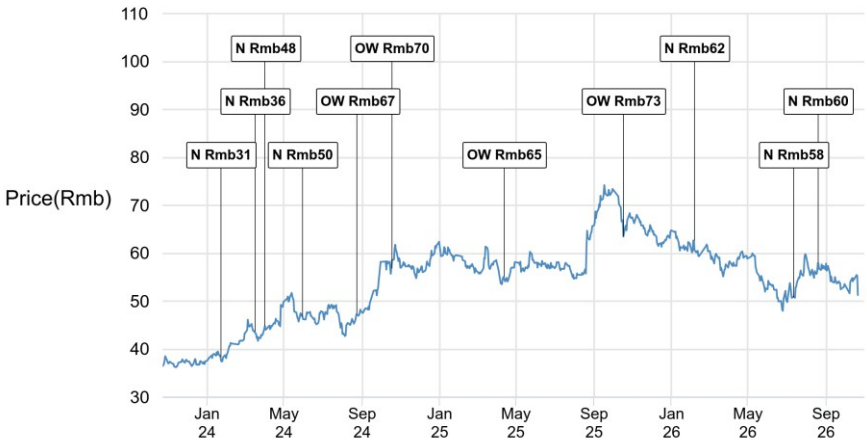
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Fuyao Glass - A (600660.SS, 600660 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
23-Jan-24	N	38.40	31
17-Mar-24	N	43.65	36
02-Apr-24	N	44.80	48
31-May-24	N	46.83	50
25-Aug-24	OW	47.28	67
18-Oct-24	OW	56.86	70
13-Apr-25	OW	55.03	65
18-Oct-25	OW	63.48	73
06-Feb-26	N	62.65	62
12-Jul-26	N	50.79	58
20-Aug-26	N	57.90	60

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 04, 2015. All share prices are as of market close on the previous business day.

Fuyao Glass - H (3606.HK, 3606 HK) Price Chart



Date	Rating	Price (HK$)	Price Target (HK$)
23-Jan-24	N	36.60	34
17-Mar-24	N	41.40	38
02-Apr-24	OW	39.40	47
31-May-24	OW	45.40	50
25-Aug-24	OW	44.20	65
18-Oct-24	OW	52.90	70
13-Apr-25	OW	51.60	60
20-Aug-25	OW	58.60	70
21-Aug-25	OW	67.50	83
18-Oct-25	OW	67.50	80
06-Feb-26	N	67.65	70
19-Mar-26	N	59.65	68
12-Jul-26	N	51.10	58
20-Aug-26	N	58.30	60

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 04, 2015. All share prices are as of market close on the previous business day.

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IB clients**	83%	81%	72%
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IB clients**	95%	93%	88%

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